

7-2e Control Procedures

Control procedures provide reasonable assurance that business goals will be achieved, including the prevention of fraud. Control procedures, which constitute one of the most important elements of internal control, include the following as shown in [Exhibit 6](#):

- Competent personnel, rotating duties, and mandatory vacations
- Separating responsibilities for related operations
- Separating operations, custody of assets, and accounting
- Proofs and security measures

Exhibit 6

Internal Control Procedures



Competent Personnel, Rotating Duties, and Mandatory Vacations

A successful company needs competent employees who are able to perform the duties that they are assigned. Procedures should be established for properly training and supervising employees. It is also advisable to rotate duties of accounting personnel and mandate vacations for all employees. In this way, employees are encouraged to adhere to

procedures. Cases of employee fraud are often discovered when a long-term employee, who never took vacations, missed work because of an illness or another unavoidable reason.

Separating Responsibilities for Related Operations

The responsibility for related operations should be divided among two or more people. This decreases the possibility of errors and fraud. For example, if the same person orders supplies, verifies the receipt of the supplies, and pays the supplier, the following abuses may occur:

- Orders may be placed on the basis of friendship with a supplier, rather than on price, quality, and other objective factors.
- The quantity and quality of supplies received may not be verified; thus, the company may pay for supplies not received or that are of poor quality.
- Supplies may be stolen by the employee.
- The validity and accuracy of invoices may not be verified; hence, the company may pay false or inaccurate invoices.

For the preceding reasons, the responsibilities for purchasing, receiving, and paying for supplies should be divided among three persons or departments.

Separating Operations, Custody of Assets, and Accounting

The responsibilities for operations, custody of assets, and accounting should be separated. In this way, the accounting records serve as an independent check on the operating managers and the employees who have custody of assets.

To illustrate, employees who handle cash receipts should not record cash receipts in the accounting records. To do so would allow employees to borrow or steal cash and hide the theft in the accounting records. Likewise, operating managers should not also record the results of operations. To do so would allow the managers to distort the accounting reports to show favorable results, which might allow them to receive larger bonuses.

Proofs and Security Measures

Proofs and security measures are used to safeguard assets and ensure reliable accounting data. Proofs involve procedures such as authorization, approval, and reconciliation. For example, an employee planning to travel on company business may be required to complete a “travel request” form for a manager’s authorization and approval.

Documents used for authorization and approval should be prenumbered, accounted for, and safeguarded. Prenumbering of documents helps prevent transactions from being recorded more than once or not at all. In addition, accounting for and safeguarding prenumbered

documents helps prevent fraudulent transactions from being recorded. For example, blank checks are prenumbered and safeguarded. Once a payment has been properly authorized and approved, the checks are filled out and issued.

Reconciliations are also an important control. Later in this chapter, the use of bank reconciliations as an aid in controlling cash is described and illustrated.

Ethics in Action

Tips on Preventing Employee Fraud in Small Companies

- Have at least two people handle bookkeeping functions, such as receivables, processing client payments, paying invoices, and managing petty cash.
- Restrict access to financial accounting data, and perform frequent reviews of financial data.
- Perform background checks for all staff handling cash or managing payments from customers.
- Require staff to take vacations. They may be afraid that a replacement will uncover fraud.
- Review online bank statements. Be on the lookout for out-of-order checks, unusual payments, and checks signed over to a third party instead of deposited in the business account.
- Require two signees for expense reimbursements, overtime, and check-writing.
- Routinely review the management of cash, refunds, product returns, and inventory.
- Protect credit card information and use secure, online bill payment services.
- Establish a code of ethics and train your employees to detect, prevent, and report fraud.
- Establish an anonymous fraud reporting process. Review every case, regardless of size, to reinforce a “no tolerance” business policy.

Source: Isaac M. O'Bannon, “10 Steps to Avoid Business and Employee Fraud”, CPA Practice Advisor, www.cpapracticeadvisor.com/small-business/article/12429935/10-steps-to-avoid-business-and-employee-fraud, September 14, 2018.

Security measures involve measures to safeguard assets. For example, cash on hand should be kept in a cash register or safe. Inventory not on display should be stored in a locked storeroom or warehouse. Accounting records such as the accounts receivable subsidiary ledger should also be safeguarded to prevent their loss. For example, electronically maintained accounting records should be safeguarded with access codes and backed up so that any lost or damaged files could be recovered if necessary.

Chapter 7: Internal Control and Cash: 7-2e Control Procedures

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